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No.

8 - Eugene Petrone v. Carisa Krikke, et al.

Defendants' Motion to Compel

Arbitration and to Stay Further Proceedings

Defendants

Mental Health America of Los Angeles ("MHALA") and Carisa Krikke move to compel arbitration of this action brought against them by Plaintiff Eugene Petrone.

Defendants also request the Court to stay proceedings pending arbitration.

Evidentiary

Objections

Defendants make six objections to Plaintiff's

declaration filed in support of his opposition. All objections are overruled.

Existence

of Agreement

The

party moving to compel arbitration must establish the existence of a written arbitration agreement between the parties. (Code Civ. Proc., § 1281.2.) It can meet the "initial burden to show an agreement to arbitrate by attaching a copy of the arbitration agreement purportedly bearing the opposing party's signature." (Espejo v. Southern

California Permanente Medical Group (2016) 246 Cal.App.4th 1047, 1060.) "At this step, a movant need not 'follow the normal procedures of

document authentication' and need only 'allege the existence of an agreement and support the allegation as provided in' " California Rules of Court, rule 3.1330. (Iyere v. Wise Auto Group (2023) 87 Cal.App.5th 747, 755.)

Here,

Defendants meet their initial burden by attaching a signed copy of the Acknowledgment of Policies, Rules and Agreement for At-Will Employment and Arbitration. (Candy Decl., Ex. A ("Acknowledgment").) The Acknowledgment provides:

I KNOWINGLY AND VOLUNTARILY AGREE TO
SUBMIT AND SETTLE ANY DISPUTE, CONTROVERSY OR CLAIM ARISING OUT OF OR RELATING
TO MY EMPLOYMENT RELATIONSHIP WITH MHALA, AS WELL AS ITS OFFICERS, MANAGERS,
EMPLOYEES, SUPERVISORS, TO ARBITRATION AS DESCRIBED IN THE 'ARBITRATION
AGREEMENT' SECTION OF THIS HANDBOOK. I AGREE THAT THE ARBITRATION OF SUCH
ISSUES, INCLUDING THE DETERMINATION OF ANY AMOUNT OF DAMAGES SUFFERED, SHALL BE
FINAL AND BINDING UPON ALL PARTIES TO THE ARBITRATION TO THE MAXIMUM EXTENT
PERMITTED BY LAW. I REALIZE BY AGREEING TO ARBITRATION, I WILL HAVE WAIVED MY
RIGHT TO TRIAL BY JURY. THIS POLICY CANNOT CHANGE EXCEPT BY WRITTEN AGREEMENT
BETWEEN MYSELF AND MHALA.

(Ibid.)

Underneath

this provision, Plaintiff's electronic signature appears.

Plaintiff

does not challenge the authenticity of his signature on this specific agreement. Instead, he generally argues that the platform Defendant MHALA uses to execute employment documents, Paylocity, is unreliable. In his declaration, Plaintiff explains that he has had problems in the past reviewing and signing documents. (See Petrone Decl., ¶¶ 6-13.) Yet Plaintiff does not dispute that he signed this specific agreement, nor does he contend that Paylocity caused him any technical difficulty in reviewing or signing this particular Acknowledgment. In addition, Plaintiff argues that he does not recall being provided with the arbitration agreement or signing it. (Petrone Decl., ¶¶ 3-5.) However, "inability to recall signing a document does not 'afford[] an independent basis to find that a contract was not formed.'" (Ramirez v. Golden Queen Mining Co., LLC (2024) 102 Cal.App.5th 821, 837.)

Accordingly,

Defendants meet their burden of showing a valid agreement was formed between

the parties.

Unconscionability

Plaintiff argues the agreement is unconscionable. “Both procedural and substantive unconscionability must be shown for the defense to be established, but ‘they need not be present in the same degree.’ ” (OTO, L.L.C. v. Kho (2019) 8 Cal.5th 111, 125 (OTO).) “The burden of proving unconscionability rests upon the party asserting it.” (Id. at p. 126.)

A. Procedural

Unconscionability

Plaintiff

shows minimal procedural unconscionability. “ ‘The procedural element addresses the circumstances of contract negotiation and formation, focusing on oppression or surprise due to unequal bargaining power.’ ” (OTO, supra, 8 Cal.5th at p. 125.) The “analysis ‘begins with an inquiry into whether the contract is one of adhesion.’

[Citation.] An adhesive contract is standardized, generally on a preprinted form, and offered by the party with superior bargaining power ‘on a take-it-or-leave-it basis.’ ” (Id. at p. 126.) For an adhesive contract, the court must consider “whether circumstances of the contract’s formation created such oppression or surprise that closer scrutiny of its overall fairness is required.” (Ibid.) “ ‘ ‘Oppression occurs where a contract involves lack of negotiation and meaningful choice, surprise where the allegedly unconscionable provision is hidden within a prolix printed form.’ ” ” (Ibid.)

Plaintiff

shows the agreement was potentially adhesive. (See Petrone Decl., ¶ 14 [“I am entirely certain that I never downloaded the Arbitration Agreement or the Employee Handbook, that no one from MHALA ever spoke with me about any of the provisions of the Employee Handbook, including specifically, that no one ever discussed the Arbitration agreement with me. Nor did anyone explain its significance to me, tell me I could negotiate its terms, ask me if I have any questions about it or suggest I consult counsel to better understand it.”].) However, an arbitration agreement offered on a “take it or leave it basis” does not render the agreement unenforceable. (See Lagatree v. Luce, Forward, Hamilton

& Scripps (1999) 74 Cal.App.4th 1105, 1127.) Here, the agreement was adhesive in nature because Plaintiff represents he did not have a meaningful choice to alter its terms. However, this alone presents only minimal procedural unconscionability under the circumstances.

Plaintiff

also argues there was surprise, because the arbitration agreement referenced in the Acknowledgment was a two-page agreement located in a 76-page-long Employee Handbook (the “Agreement”). While the Court acknowledges that the Agreement could have been more clearly presented in the Handbook, the Acknowledgment explicitly states that the Agreement is located in the Employee Handbook. Further, the cover page of the Employee Handbook states, “This Handbook contains an arbitration agreement that applies to both you and MHALA that waives your and MHALA’s right to a trial by jury and also results in a waiver of your right to represent a class in litigation or to participate in a class action against MHALA. The arbitration agreement can be found at page 6 of this Handbook.” (Alexis Decl., Ex. A, at p. 1.) Given there was little to no surprise involved, any resulting procedural unconscionability is low.

Lastly,

Plaintiff argues that the agreement is procedurally unconscionable because the applicable arbitration rules were not attached to the arbitration agreement. Failing to attach the arbitration rules is procedurally unconscionable only when those rules themselves are unfair. (Baltazar v. Forever 21, Inc. (2016) 62 Cal.4th 1237, 1246.) Plaintiff does not point to any specific rules that are unfair.

B. Substantive

Unconscionability

“Substantive

unconscionability examines the fairness of a contract’s terms.” (OTO, L.L.C. v. Kho (2019) 8 Cal.5th 111, 129.) “ [T]he unconscionability doctrine is concerned not with “a simple old-fashioned bad bargain” [citation], but with terms that are “unreasonably favorable to the more powerful party.” ’ ” (Id. at p. 130.)

Plaintiff argues

that the agreement is substantively unconscionable on four separate grounds. The Court will address each in turn.

1. Overbreadth

First, Plaintiff argues that the arbitration agreement is overbroad in scope because it covers any dispute between the parties, whether or not they arose from employment. To support this, Plaintiff points to a provision in the Agreement:

[A]ny dispute, controversy or claim between us, including without limitation, contract claims, tort claims, breach of duty claims, wrongful termination claims, wage claims, claims of discrimination or harassment (whether in the hiring process or after employment) and all other common law and statutory claims, including all claims based upon federal or state civil rights laws, including claims under the EEOC, FEHA, or otherwise (collectively "Claims"), to the extent the law provides.

(Candy Decl., Ex. B, at p. 2.)

However, the Court notes that there is a contrary scope provision in the Acknowledgment, which Plaintiff ignores. It provides:

I KNOWINGLY AND VOLUNTARILY AGREE TO SUBMIT AND SETTLE ANY DISPUTE, CONTROVERSY OR CLAIM ARISING OUT OF OR RELATING TO MY EMPLOYMENT RELATIONSHIP WITH MHALA, AS WELL AS ITS OFFICERS, MANAGERS, EMPLOYEES, SUPERVISORS, TO ARBITRATION AS DESCRIBED IN THE 'ARBITRATION AGREEMENT' SECTION OF THIS HANDBOOK.

(Candy Decl., Ex. A (*italics added*).)

Here, there are two conflicting provisions regarding the scope of disputes covered by the parties' agreement. Thus, the Court turns to general principles of contract interpretation to reconcile the Acknowledgment and the Agreement.

As an initial matter, the Court determines that the Agreement, located in the Employee Handbook, is incorporated by reference into the Acknowledgment. (See Candy Decl., Ex. A ["I knowingly and voluntarily agree to submit . . . to arbitration as described in the 'Arbitration Agreement' section of this handbook."].) "The

contract need not recite that it ‘incorporates’ another document, so long as it ‘guide[s] the reader to the incorporated document.’ [Citations.] . . . If these conditions are met, an employee may agree to arbitrate claims against his or her employer by signing an acknowledgment form that incorporates the employer’s employee handbook and the arbitration policy it contains.” (Avery v. Integrated Healthcare Holdings, Inc. (2013) 218 Cal.App.4th 50, 66 [cleaned up].) Therefore, Plaintiff agreed to arbitrate certain claims under the terms of both the Acknowledgment and the Agreement.

Further, “[w]here two provisions appear to cover the same matter, and are inconsistent, the more specific provision controls over the general provision.” (Starlight Ridge South Homeowners Assn. v. Hunter-Bloor (2009) 177 Cal.App.4th 440, 447.) Here, the Agreement’s language is broader in scope: it applies to “any dispute, controversy or claim between [the parties].” (Candy Decl., Ex. B, at p. 2.) The Acknowledgment’s language is much narrower: it applies to “any dispute, controversy or claim arising out of or relating to [the employee’s] employment relationship with MHALA.” Because the Acknowledgment’s provision is more specific, it controls.

Given that the agreement only governs disputes arising from the employment relationship, Plaintiff’s overbreadth critique fails.

2. Mutuality

Plaintiff argues that the agreement is not mutual because it requires Plaintiff to arbitrate his claims brought against MHALA’s officers, managers, etc., but does not require the reverse—namely, there is no requirement that MHALA’s officers or managers or related affiliated companies arbitrate their claims against Plaintiff.

Plaintiff cites only one case addressing this form of non-mutuality as a basis for substantive unconscionability: Cook v. University of Southern California (2024) 102 Cal.App.5th 312. There, the agreement was substantively unconscionable for several reasons, including that it required arbitration of claims unrelated to employment (id. at pp. 321-322) and “it survived indefinitely following [plaintiff’s] termination” (id. at p. 325). As relevant here, the agreement was also unconscionable because it required the employee to arbitrate claims against the employer “ ‘or any of its related

entities, including but not limited to faculty practice plans, or its or their officers, trustees, administrators, employees or agents, in their capacity as such or otherwise' " but did "not require [the employer's] 'related entities' to arbitrate their claims against" the employee. (Id. at p. 326.) The Cook court's analysis of that provision, however, was tied to the first unconscionable element—the agreement's overbreadth: "No explanation is offered as to why Cook should be required to give up the ability to ever bring claims in court against a USC employee that are unrelated to USC or her employment there." (Id. at p. 327, *italics added*.)

In

contrast, here the agreement is limited to claims that arise out of Plaintiff's employment. Moreover, Plaintiff does not explain any form of "related parties" that Defendant may have that would render the agreement unfair. In Cook, the defendant was the University of Southern California—which, as the Cook court noted, operates hospitals such that "if Cook was 'the victim of a botched surgery in a USC hospital in 15 years, her claims could be subject to the arbitration agreement.' " (Cook, *supra*, 102 Cal.App.5th at p. 318 [discussing trial court's order].) There is no evidence that such concerns apply here.

Moreover,

the Agreement expressly provides "[A]ny dispute, controversy or claim between us . . . shall at the request of either the employee or employer be submitted to and settled by binding arbitration under the requirements and mandate of the Federal Arbitration Act." (Candy Decl., Ex. B, at p. 2 (*italics added*)). The agreement is mutual.

3. FEHA

Venue

Plaintiff argues that the Agreement's requirement that arbitration be conducted in Los Angeles County severely limits Plaintiff's right under FEHA to choose a venue pursuant to Government Code section 12965. However, as Defendants point out, the FEHA venue statute applies only to civil actions. (See Gov Code § 12965(c)(3).) It does not dictate where Plaintiff may bring an arbitration proceeding. Therefore, the agreement's venue restriction for arbitration does not restrict Plaintiff's independent right to initiate a civil action in a different venue provided for in statute.

4. PAGA

Waiver

Plaintiff shows one

substantively unconscionable provision that can be severed from the Agreement. The Agreement states:

Employee also knowingly and voluntarily waives (gives up) the right to be a party in or to any class action or representative lawsuit including lawsuits under the Private Attorney General Act, against Employer or Related Parties, whether filed in federal or state court, as part of Employee's agreement to arbitrate all disputes with Employer and Related Parties by binding arbitration.

(Candy Decl., Ex. B, at p. 3.)

It is substantively unconscionable to require employees "to waive any right to bring a representative action under the Labor Code Private Attorneys General Act of 2004 ... despite the fact that 'an employee's right to bring a PAGA action is unwaivable.' " (Najarro v. Superior Court (2021) 70 Cal.App.5th 871, 882.)

This

provision is severable. "The strong legislative and judicial preference is to sever the offending term and enforce the balance of the agreement" unless the agreement is "permeated by unconscionability." (Lange v.

Monster Energy Company (2020) 46

Cal.App.5th 436, 453, internal quotes, citations, and alterations omitted.)

Here, the agreement contains a severability clause and is not permeated by unconscionability. The Court will therefore sever the offending waiver.

Disposition

Defendants

Mental Health America of Los Angeles and Carisa Krikke's motion to compel arbitration is granted.

Plaintiff Eugene Petrone is ordered to arbitrate this action against Defendants.

The Court hereby stays the entire action

pending resolution of the arbitration proceeding.

The Court hereby severs the following

provision in the Agreement: "Employee

also knowingly and voluntarily waives (gives up) the right to be a party in or

to any class action or representative lawsuit including lawsuits under the

Private Attorney General Act, against Employer or Related Parties, whether

filed in federal or state court, as part of Employee's agreement to arbitrate

all disputes with Employer and Related Parties by binding arbitration." (Candy Decl., Ex. B, at p. 3.)